



# Recognize and audit revenues under IFRS 15

Group Work

Würzburg  
06 May 2026





# Revenue Recognition – Group Work 1

Accounting for a turn-key wind  
turbine construction contract

# Group Work 1

## Construction of a wind turbine

In 2020, WindCorp AG enters into a 750,000 EUR contract to manufacture and install a standard wind turbine that requires three years to complete and incurs a total cost of 607,500 EUR. The construction starts in January 2020 and is finalized in December 2022 on the basis of an acceptance certificate signed by the customer. Payments are received at the end of each period as shown below. For simplification, all incurred costs are assumed to be paid in cash and taxes are omitted.

The following data pertains to the construction period:

|                                               | 2020    | 2021    | 2022    |
|-----------------------------------------------|---------|---------|---------|
| Cumulative costs incurred to date             | 225,000 | 540,000 | 607,500 |
| Incurred cost of the period                   | 225,000 | 315,000 | 67,500  |
| Estimated costs to be incurred as of year-end | 450,000 | 60,000  | -       |
| Billing & Payment of the customer             | 150,000 | 515,000 | 85,000  |

**Audit risk (in addition to risks mentioned before):** Estimated costs to complete the construction project are incorrect respectively adjustment of cost calculation does not occur timely resulting in incorrect revenue recognition in the period.

# Group Work 1

## Construction of a wind turbine

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### Scenario 1

Assume that WindCorp performs the major part of construction activities on its own premises and installs the wind turbine on the customer's premises in December 2022

### Scenario 2

Assume that WindCorp constructs the wind turbine solely on the customers premises

### Tasks

- ▶ Assess whether the performance obligation is satisfied at a point in time or over time according to IFRS 15.35
- ▶ Compute the respective contract revenues earned and show the respective journal entries
- ▶ Compare the results of Scenario 1 and Scenario 2





# Revenue Recognition – Group Work 2

## Customer loyalty program



# Group Work 2

## Customer loyalty program

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Supermarket AG has a customer loyalty program in 2021 that rewards a customer with one customer loyalty point for every USD 10 of purchases. Each point is redeemable for a USD 0.1 discount on any future purchases of the entity's products. The loyalty points are only granted for every full USD 10 purchases, e.g., the customers receive 1 point for a USD 11 and a USD 19 purchase. The loyalty points expire after one year.

During a reporting period, customers purchase products for USD 32,000,000 and earn 3,000,000 points that are redeemable for future purchases. 800,000 of the earned points are used by the customers in the same reporting period

Based on prior experiences the company expects that 20% of the granted loyalty points won't be used and therefore expire after one year.

### Question 1

What is the impact of the customer loyalty program on the revenues in 2021?

# Group Work 2

## Customer loyalty program

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In 2022 the customer loyalty program gains more interest of customers, which leads to an increase in used points. Therefore, the company decides to end the program by 1.1.2023.

In 2022 USD 55,000,000 Revenues were generated resulting in 5,000,000 additional points.

In 2022 3,500,000 points were used and in 2023 additional 2,500,000 points. Furthermore, in 2022, 200,000 points decayed as well as 1,000,000 points in 2023. Due to the additional interest in the program the company changes its expectation that 20% of the granted points will decay to 10%.

### Question 2

What are the journal entries for 2022 and 2023?

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